TWENTY-SIX

MY ETHICAL DILEMMA

OUT OF COMMODITIES, BUT STILL IN CHICAGO, I REVIEWED MY progress. By mid-July, I'd made $265 in the Lind-Waldock account, plus the $400 on the stock-index options bought much earlier, thanks to Mr. Crawford. This $715 was the only profit I'd taken to date. I'd sold one half of the Angstrom for a loss of $700, which left me about even. Meanwhile, I still owned the 53 shares of Gillette worth $88 a share—a paper profit of $450—and the remaining 2,500 shares of Angstrom, now worth only 85 cents a share, for a paper loss of $2,100. Overall, I was down $1,650.

I chose to accentuate the positive, the small, albeit miraculous, results from my Chicago trading. Though the $265 didn't cover my hotel bill, I decided to stick around Chicago and look for the next smart thing to do. It didn't take long to find it.

There was news from back home that my wife's broker, Mr. Bermont, recommended she buy Loews stock for her own account as soon as possible. An investment genius named Laurence Tisch, who controlled Loews, was using his company to acquire shares in CBS at bargain prices. Mr. Tisch was making other savvy moves to benefit the Loews shareholders. The stock was selling for about $60 and surely would rise to $80 by the end of summer.

I could have bought the stock, but having become a confirmed short-term trader, I was now interested in the option. I checked with local sources and was delighted to learn that Loews options were traded along with hundreds of similar chances in the new building stuck onto the back of the art deco Board of Trade. These were options on individual stocks, as opposed to options on the stock-index futures I'd bought on the advice of the astrologer.